

Document No:	Title :Project Financial Appraisal	Number of Pages :
Document Type: Procedure	Revision: 0	Effective Date :

1. PURPOSE

To assist in the financial appraisal of network reconfiguration, extension and reinforcement projects.

2. SCOPE

This procedure applies to all internal and external capital projects in ZETDC Eastern Region.

3. RESPONSIBILITIES

3.1 The Engineering Manager is responsible for ensuring that this procedure is implemented, maintained and regularly reviewed in line with the changes in operations, technology, legislation, standards, circumstances and policies.

4. DEFINITIONS

- 4.1 **GM** - General Manager
- 4.2 **EM**- Engineering Manager
- 4.3 **BCR**- Benefit Cost Ratio
- 4.4 **NPV**- Net Present Value
- 4.5 **IRR**- Internal rate of return

5. ACTIVITY DESCRIPTION

- 5.1.1 The Engineer shall derive estimate cost for each proposed solution.
- 5.2 The Engineer shall calculate the BCR for the proposed solution.
- 5.3 For BCR which are less than 1, the engineer discards solution.
- 5.4 For BCR which are more than 1, the engineer calculates the NPV.
- 5.5 For NPV which are less than 0, the engineer discards solution.
- 5.6 For NPV which are 0 or more, the engineer calculates the IRR.
- 5.7 For IRR which are less than discount rate, the engineer discards solution.
- 5.8 For IRR which are more than discount rate, the engineer calculates the payback period.
- 5.9 For payback period which are less than project lifespan, the engineer discards solution.

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- 5.10 For payback period which are more than project lifespan, the engineer does a social and environmental impact assessment.
- 5.11 Where proposed solution is not socially and/or environmentally unacceptable, the engineer discards solution.
- 5.12 Where proposed solution is socially and environmentally acceptable, the engineer recommends the project for implementation.

6. RECORDS

The following records shall be generated from implementation of this procedure.

Name of record:	Custodian / location:	Retention period:
Project Appraisal Report	Engineer	5yrs

After the retention period of 5 years, all the records shall be archived for a period of 30 years.

7. REFERENCES

- 7.1 Engineering Instructions
- 7.2 Distribution Planning Manual
- 7.3 Design Memo
- 7.4 Distribution Code
- 7.5 Project Appraisal Framework

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